

PITCH — ENOV — ADJUDICATED

RULING (2026-09-02, Fable adjudication): MINIMUM STARTER 0.25% — STAGED, 112 shares @ \$21.00 limit (instruction 102). Blue's 0.4–0.5% ask HALVED, red's REJECT overturned on its central number.

What the adjudication settled beyond the benches: - Red's fatal died on arithmetic re-verified at XBRL to the dollar: TTM free cash flow is **\$63.7M** (OCF \$270.1M – capex \$206.4M) — red's "FCF must 5x in two years" frame used a half-year ratio on an H2-skewed converter. The gap to the >\$100M FY27 target is +\$36M against a three-year improving slope, not a moonshot. - **Why only 0.25% despite winning the argument:** two sizing governors — goodwill recidivism (\$1.695B impaired historically, more than today's entire \$1.18B market cap — a serial-impairer discount) and the unresolved capex slope (~\$220M FY26 if H1's ratio holds, which would eat the FCF story). - **The add gate (to 0.5%) is pre-registered at the ~Nov 5 print:** 9-month FCF ≥\$30M and 9-month capex ≤\$155M. **The kill is language, not numbers:** any walk-back of the ">\$100M / 50% conversion" FY27 commitment → exit (frozen at 0.75 they reaffirm). - **The tape artifact worth knowing:** the screen's pack price (\$23.19) was a pre-open midpoint phantom — live tape was \$20.69 at ruling. That artifact class (a fake +13% print) entered a bench FATAL before being caught, and is now a cataloged pack-builder detector.

DRAIN UPDATE (2026-09-02, post-adjudication verification — the "what remains unverified" run-down): - Capex slope: better than feared. H1 actual \$96.7M annualizes to ~\$193M — *below* the \$220M governor the ruling sized against. H2 skew unresolved; the Nov gate (9M capex ≤\$155M) remains the test. - **The convert, structurally answered:** \$460M due Oct 2028, company-election settlement with capped calls at \$89.72 — dilution mechanics bounded, not a near-term overhang. - **Grenoble's share of the capex guide is genuinely undisclosed** (honest RANGE, not a gap we failed to read). - Still owed: the FY27 ">\$100M / 50%" commitment verbatim from the call transcript — it's the baseline for the language-walk-back kill, so the exact wording matters.

The bench pitch below is preserved as written (pre-adjudication).

What we believe

Enovis makes orthopedic implants and bracing. It trades at about **\$20.53** (September 1 close), down roughly 34% over a year and only about 7% above its 52-week low of \$19.14. At 57.7M shares that is a **\$1.18B market cap**; adding net debt of about \$1.27B from the debt note gives an enterprise value near **\$2.46B**, or about **5.7x** the midpoint of this year's guided EBITDA (~\$430M) and about 6.2x after the newly announced acquisition.

The company says it will convert about 50% of adjusted EBITDA to free cash flow in 2027, “to over \$100 million.” The core question the court was convened to answer is whether that number is reachable. Our answer, after both benches: **it is a stretch but it is not a fantasy, and the gap is about \$36M, not a fivefold jump.**

The arithmetic that matters, computed line by line from the company’s own audited XBRL rather than from any conversion percentage:

Period	Operating cash flow	Capital spending	Free cash flow
FY2024	\$113.5M	\$180.7M	–\$67.2M
FY2025	\$217.3M	\$197.4M	+\$19.9M
Trailing twelve months (through Q2-26)	\$270.1M	\$206.4M	+\$63.7M

That is a three-year improving slope, not a discontinuity. Operating cash flow grew 91% from FY24 to FY25 and 114% year over year in the first half of 2026.

So the belief is narrow and unglamorous: **a deleveraging, cash-flow-inflecting medical device company at under 6x EBITDA, where the market is pricing the capital allocator rather than the assets.** We are not buying the 2027 target. We are buying the slope beneath it at a price that does not require the target to be hit.

What the market believes

Two markets, pointing opposite ways.

The sell side is uniformly bullish: **13 analysts, consensus “Strong Buy,” average price target \$38.33**, forward P/E of 5.66. That is roughly 87% above the tape.

The tape and the short base disagree. The stock is down 33.6% in a year, closed below both its 50-day (\$25.62) and 200-day (\$24.89) averages *before* the acquisition was announced, and **8.71M shares are sold short — 15.1% of shares outstanding, 16.5% of the float, 7.4 days to cover.**

What the shorts believe, translated: this management wrote off **\$1.695 billion of goodwill in 24 months** — more than the entire current market capitalization — on the Lima acquisition it financed the same way, and it is now borrowing on its revolver to do another deal before the last one has finished being written off. Goodwill has gone from \$2,414.6M to \$709.9M. On September 1 the company announced a binding offer for **eCential Robotics**, a 72-person Grenoble surgical-robotics developer whose last public revenue figure was \$15.7M (2022), for an enterprise value of €155M — which, per the 8-K itself, “corresponds to up-front consideration of approximately €176,000,000 in cash,” plus up to €35M in milestones. Call it **~\$205M cash at close, up to ~\$246M**. The company simultaneously told investors this costs about **100 basis points of 2027 EBITDA margin, net** — roughly \$24.5M — in the same year it has promised its first \$100M free-cash-flow print.

The market's read is: the allocator is doing it again. The stock lost about \$234M of market value against roughly \$205M of cash going out the door. The excess is the discount on the decision-maker, not on eCential.

Why we might have edge

Three places where we did work the tape does not appear to reflect:

1. **Nobody publishes the absolute number.** Coverage of Enovis discusses free-cash-flow *conversion percentage*, which flatters. We computed the dollars: -\$67.2M, +\$19.9M, +\$63.7M trailing. Once you have the absolute series, both the bear case ("it has never happened") and the bull case ("it is \$36M away, not \$80M away") become checkable rather than rhetorical. Most of the argument on this name is being conducted on the wrong basis by both sides.
2. **Cash flow is heavily second-half weighted, and almost nobody adjusts for it.** First-half free cash flow was **-\$104.7M (2024), -\$41.5M (2025), +\$2.3M (2026)**. Nine-month 2025 was **\$12.4M** against a full-year +\$19.9M. Any bear who quotes a half-year figure against a full-year target — including our own red bench — is off by the entire seasonal swing.
3. **The scariest-sounding balance-sheet risk is not what the label says.** The 10-Q's XBRL tag reads "Maximum Total Leverage Ratio 3.50." The note text reads: "*a maximum **senior secured** leverage ratio of not more than 3.50:1.00,*" and "*As of July 3, 2026, the Company was in compliance.*" The \$460M convertible is unsecured and sits outside the test. Secured debt is about \$831M (~1.9x), going to about \$1,036M (~2.4x) after the deal, with **\$942.0M of \$1,100M revolver still available**. A reader who trusted the label rather than the note would have manufactured a covenant breach that does not exist.

Why it might be priced in

Honestly: most of it probably is, and this is the weakest part of the case.

- **We agree with the consensus direction.** Thirteen analysts rate it Strong Buy. We are not seeing something the street has not seen; we are, at best, differing on how much of the target to underwrite. A cheap stock everyone already likes, with a sixth of its float short, is a crowded fight, not a discovery.
- **The derate is a year old.** This was not a clean price dislocation off a stable base. The stock was already below both moving averages before the 8-K. The acquisition is the latest increment in a long slide, which means "it's cheap" has been true and unrewarding for twelve months.
- **The impairment history is fully public.** \$1.695B is in the filings. Nobody is being fooled. The discount on management is deliberate and may be correct.
- **The one number we might be right about — trailing free cash flow of \$63.7M — is confirmable by anyone with the same XBRL feed.** stockanalysis.com already publishes the identical trailing figures. This is not private information; it is just information people are choosing not to frame this way.

What could go wrong

Failure narrative 1 — Capital spending eats the entire bridge. This is the leg neither bench resolved and the most likely way to lose. Capex went \$180.7M → \$197.4M and is running up about 10% year over year in the first half against roughly 5% revenue growth. On the 2025 half-to-full-year ratio (44%), **FY26 capex lands near \$220M**, above the ~\$195M the bear case assumed — and that is *before* building a robotics center in Grenoble. If capex is \$220M+ in 2027, hitting \$100M of free cash flow requires operating cash flow near **\$320M** versus \$270M trailing, on ~5% revenue growth with a self-declared 100bp margin headwind. The company then misses, and the stock is re-rated as a serial disappointment. *Tripwire: capex line in the Q3 10-Q, and any FY27 capex guidance.* Monitorable.

Failure narrative 2 — The 2028 refinancing forces the hand earlier than 2028. The \$460M convertible matures **October 15, 2028**, at 3.875%, with a conversion price of \$58.32 — 2.8x the current price, so it is pure debt with no chance of converting away. Refinancing at a market rate near 7.5% costs about **+\$17M a year**. Worse, it probably cannot be taken out on the revolver: post-deal secured debt plus \$460M would be roughly \$1,496M against a 3.50x secured test — about **3.48x**, essentially no room. It has to be refinanced unsecured, at unsecured pricing, in a window that starts well before maturity. If credit markets are unfriendly in 2027, the refinancing conversation arrives on top of the year the cash-flow promise comes due. *Tripwire: any 8-K announcing notes issuance, exchange, or revolver amendment.* Monitorable.

Failure narrative 3 — the allocator does it again, and we find out the way we found out last time. NO MONITORABLE TRIPWIRE. Nothing we can watch tells us how the Lima integration is actually going, whether surgeon relationships are eroding, what eCential's real burn is, or whether another deal is being negotiated right now. The \$1.695B of impairments arrived as a fact on a filing date, not as a deteriorating series anyone could have followed down. **Unknown-unknown class: private operating state** — management's own view of asset quality and integration health, which is not in any filing, price series, permit record, or regulatory feed available to us between disclosures, and which by construction surfaces only after it has already cost money. We have no instrument for this and should not pretend a quarterly print counts as one; a print is a confession, not a warning.

The reflexive and structural leg. Three uncomfortable things about our own position in this trade:

- **This position exists because nothing killed it, not because anything proved it.** Our standing rule is that staying flat requires a *named* surviving objection. The red bench brought three fatal-grade objections; two were reduced on arithmetic and one landed outside the window red itself declared decisive. Zero survived. Under our own rule, zero surviving kills produces a minimum starter — so the doctrine, not the evidence, is generating the buy. That is a legitimate way to size, but it means the position's real conviction is “we could not break it,” which is much weaker than “we found something.” Sized accordingly: 0.4–0.5%, not more.
- **We nearly transacted 12.9% too high because of our own data plumbing.** The evidence pack handed to both benches carried a price of **\$23.185** with derived drawdown fields to match. The actual price was **\$20.53**. The pack was built at 07:45 ET and appears to have picked up a thin pre-open midpoint. If the limit had been set off the pack rather than off the real close, the entry ceiling would have been about 13% too generous on a starter whose whole

justification is the entry price. Both benches independently caught it; the pack builder needs to reject non-regular-hours quotes.

- **Size versus liquidity, stated honestly: unverified.** A 0.4–0.5% starter is a small absolute ticket and market impact is almost certainly not the binding constraint, but **we did not pull ENOV's average daily volume**, so the formal liquidity check has not been done. What we *do* know structurally is that 16.5% of the float is short with 7.4 days to cover — meaning the flow risk here is not our own impact but a squeeze that could carry the stock through our entry band before we fill, or a violent unwind in either direction on the November print. A limit order at \$21.50 in a name that can gap on short covering may simply never fill, or may fill only on the days we least want to be buying.

If this position loses money, the most likely reason will be that capital spending keeps growing faster than revenue, so the 2027 free-cash-flow bridge never closes and the market concludes — for the second time in three years — that this management team turns acquisitions into write-offs.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Price is \$23.185 (evidence pack)	Yahoo pre-market timestamp + Sept 1 close	Real price \$20.53–\$20.58; pack overstated by 12.9% and every derived field (drawdown, distance from low) was wrong with it	No — our own pack was corrupt. Both benches used \$20.51
“FY25 free cash flow \$19.9M → \$100M is a 5x, needs operating cash flow +43%” (our red bench)	Full XBRL series, trailing-twelve-month recomputation	Our red bench compared a half-year to a full-year. Cash flow is second-half weighted (H1 was −\$104.7M, −\$41.5M, +\$2.3M). On trailing twelve months: OCF \$270.1M, capex \$206.4M, FCF \$63.7M. Gap is +\$36M, needing OCF +14.8%	No — bench error. Red correctly caught the company's flattering “conversion %” frame and then made the mirror-image mistake
Leverage of 3.6x breaches a 3.50x covenant	10-Q note R18, read verbatim	Covenant is <i>senior secured</i> ≤3.50x; the \$460M convertible is unsecured and excluded. Secured ~1.9x, ~2.4x after the deal. Company states compliance as of 2026-07-03	No — withdrawn by our own red bench before it was used. The XBRL <i>label</i> says “Maximum Total Leverage Ratio,” which would have produced a false kill; the note text is what saved it
eCential costs ~\$36M/year of EBITDA (150bp)	Press release exhibit 99.1, verbatim	150bp of dilution “offset by approximately 50 basis points of underlying improvement, equating to a 100 basis point	No — our red bench used the gross figure. Corrected downward

Claim	How checked	Found	Confirmed?
		headwind ” — about \$24.5M, some of which is denominator dilution from adding revenue rather than cash burn	
“Re-court if 9-month 2026 FCF $\geq$ \$60M” (red’s own trigger)	Compared to 9-month 2025 of –\$12.4M	Would require a \$72M nine-month swing when the entire FY24→FY25 swing was \$87M — unachievable by construction. Reset to $\geq$\$30M	No — bench error, trigger reset
“No divergence — we agree with a Strong Buy street”	Read the originating brief	The brief published no fair value at all — a multiple and no size. Street is at \$38.33; the desk sits far below and called one \$47 target unmarked. That is divergence <i>from</i> the street, on the bearish side	No — overturned as a rejection reason. Short interest is a sizing and timing input, not a veto
Deal size €155M	8-K body, primary	Primary says EV €155M “corresponds to up-front consideration of approximately €176,000,000 in cash,” up to €35M more. ~\$205M cash out, up to ~\$246M. Several wire services reported “€155M upfront”	Yes — primary correct, secondaries understated by ~\$25M
\$1.695B of goodwill impaired in 24 months	XBRL GoodwillImpairmentLoss	FY24 \$645.0M + FY25 \$1,049.8M confirmed; goodwill \$2,414.6M → \$709.9M	Yes. Non-cash, and residual goodwill is now smaller than the market cap, so further write-offs are bounded — but the allocator record stands
Total debt	10-Q debt note vs. vendor figure	Note-derived total debt \$1,284.5M, cash \$12.6M. The vendor’s \$1,369M includes leases	Vendor figure superseded; verdict unchanged
Manufacturing-site and device-recall checks	Attempted	Could not run. The pack geocoded only the Lewisville, TX headquarters and a Wilmington, DE office — the Lima (Italy) and Grenoble (France) plants	No — coverage gap on both, reported not skipped

Claim	How checked	Found	Confirmed?
		were never resolved. The FDA recall series for the Lima/DJO establishments was not pulled	
Seasonality and price tooling	Attempted	Desk scripts could not run this session; seasonality was decomposed by hand from XBRL year-to-date deltas and the tape came from public quotes	Partially — hand-computed, reproducible, but not tool-verified

PROPOSED ENTRY BANDS

All levels come from the benches' own arithmetic, priced off the **real** \$20.53 close, not the corrupted pack print.

Starter entry. Buy **0.4–0.5% of the book**, limit **\$21.50 or better**. That ceiling is roughly 4.7% above the Sept 1 close and sits below the 50-day (\$25.62) and 200-day (\$24.89) averages — it is a “do not chase” limit, not a target. At \$21.50 the enterprise value is about \$2.51B, or ~5.8x guided EBITDA. **Do not transact off \$23.19 under any circumstance.**

No adds before the November print. None. The single unresolved leg (capex) is answered by that filing and by nothing before it.

Add gate — both conditions, not either. Nine-month 2026 free cash flow $\geq$ **\$30M** (this merely sustains the +\$43.8M year-over-year first-half improvement and implies a full-year \$75–85M) **and** nine-month capex $\leq$ **\$155M** (this is the leg that decides whether the bridge exists; \$155M nine-month annualizes near \$207M, versus the ~\$220M trajectory we are worried about). If both clear, a second 0.4–0.5% tranche is warranted, taking the position to ~1%.

Exit / kill gates. Sell the starter on any of: (a) the company walking back the “>\$100M / 50% conversion in 2027” language in any form; (b) nine-month 2026 free cash flow below **\$0**; (c) a new goodwill impairment or a new debt-funded acquisition announced before the eCential deal closes.

Re-court, don't act, on. A close below the 52-week low of **\$19.14** — cheaper is not automatically better in a name whose bear case is management quality; a new low with no new news is information. And a reclaim of the 200-day at **\$24.89**, which would mean the year-long derate has ended and the entry logic here is stale.

What would move this from starter to real size. Nine-month free cash flow at or above \$60M (red's original bar — a high one), or FY27 capex guided **down** to $\leq$ \$180M with Grenoble inside it, or the 2028 convertibles refinanced before mid-2027 at $\leq$ 5.5%. Any two of those together and this stops being a “nothing killed it” position.

Catalyst dates. - **November 4–6, 2026 — Q3 10-Q and results.** The date is *unconfirmed*: it is derived from a data vendor, no company press release names it. We verified the pattern against primary EDGAR filing dates — the 10-Q was filed November 6 in both 2024 and 2025 — so the

true window is Nov 4–6. About 43–44 trading days out. This filing contains the nine-month cash-flow statement that decides the add gate. - **By year-end 2026 — eCential closing**, per the 8-K, “subject to regulatory approvals.” Closing confirms the ~\$205M cash draw and starts the 2027 margin headwind clock; a termination or delay is itself information. - **Before mid-2027 — the practical refinancing window** for the \$460M convertible maturing **October 15, 2028**. Not a scheduled event; watch for it as an 8-K.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 19.14 (deck-provisional: 52-week low break with no new news is information about the allocator discount; re-court before averag)
- filing watch: 10-Q until 2027-03-01 (deck-provisional: Nov 4-6 filing carries the 9-month cash-flow statement that decides both add-gate conditions: 9M FCF >)
- dated pack ENOV12026-11-05: ENOV: Q3 2026 results and 10-Q; window is Nov 4-6 (10-Q filed Nov 6 in both 2024 and 2025); exact date vendor-derived, no company PR names i
- dated pack ENOV12026-12-31: ENOV: Expected eCential Robotics closing per the 8-K, subject to regulatory approvals; ~\$205M cash draw on the revolver, up to ~\$246M with m
- dated pack ENOV12027-06-30: ENOV: Practical outer edge of the refinancing window for the \$460M convertibles maturing 2028-10-15; unsecured pricing near 7.5% would add ~
- dated pack ENOV12028-10-15: ENOV: Convertible senior notes mature; conversion price \$58.32 makes them pure debt at this price. (date confirmed=True)

What remains unverified

- **Whether the 100bp of 2027 dilution is cash or accounting.** The press release is silent on amortization. If a meaningful part of that ~\$24.5M is purchase-price amortization rather than cash burn, the drag on free cash flow is roughly half what it looks like. This is the cheapest remaining piece of work and it materially moves the bridge.
- **FY2027 capital spending.** Not guided. Our estimate of ~\$220M for FY26 is a seasonal extrapolation from one prior year’s half-to-full ratio, and it excludes the Grenoble build entirely. This is the position’s dominant risk and it rests on the least verified number in the deck.
- **eCential’s actual financials.** The last public revenue figure is \$15.7M from 2022, from a third-party company database. We have no audited statements, no current burn rate, and no revenue figure for the year being acquired. We are paying roughly 13x a four-year-old revenue number.
- **The November print date.** Vendor-derived. No company release confirms it.
- **Average daily volume and the formal liquidity check.** Not pulled.
- **The Lima (Italy) and Grenoble (France) manufacturing sites.** Never geocoded, so no independent operational read on the plants was possible.
- **What the residual \$709.9M of goodwill is carried against.** We know the impairments are bounded below the market cap now; we did not test the remaining carrying values against segment performance.

Primary sources: 8-K of 2026-09-01, Item 7.01 and exhibit 99.1 · 10-Q debt note (R45) · 10-Q covenant note (R18) · XBRL operating cash flow · XBRL capital expenditures · XBRL goodwill impairment

immediate_entry below is **null** deliberately: the proposed starter is real and fully specified above, but this deck is pending adjudication and no order should stage before that. The \$21.50 gate carries the entry.

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